



REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City

**LOCAL GOVERNMENT AUDIT SECTOR
NATIONAL CAPITAL REGION**

OFFICE OF MAYOR HONEY LACUNA CITY OF MANILA	
RECEIVED BY	<u>Hanel</u>
DATE	<u>5-25-23</u>
TIME	<u>11:21</u>
CONTROL NO.	<u>7923</u>
CONTACT NO.	

May 24, 2023

Honorable MARIA SHEILAH "Honey" H. LACUNA-PANGAN, MD, FPDS
City Mayor
City of Manila

CITY COUNCIL OF MANILA	
RECEIVED BY:	<u>JP</u>
DATE:	<u>MAY 25 2023</u>
TIME:	<u>11:10 AM</u>

Dear Honorable Mayor Lacuna-Pangan:

We are pleased to transmit the Annual Audit Report on the City of Manila for Calendar Year 2022, pursuant to Section 2, Article IX-D of the Philippine Constitution and Section 43 of Presidential Decree No. 1445, otherwise known as the Government Auditing Code of the Philippines.

The report consists of the Independent Auditor's Report, Audited Financial Statements, Observations and Recommendations, and the Status of Implementation of Prior Years' Audit Recommendations.

The Auditor rendered a Qualified Opinion on the fairness of the presentation of the City's financial statements in view of the significance of the exceptions noted in the audit as stated in the Independent Auditor's Report.

The significant observations and recommendations that need immediate action are as follows:

1. The inventory accounts were overstated by a net amount of P32.595 million due to accounting errors in record keeping, non-maintenance of inventory records and unreconciled records of the Office of the City Accountant (OCAT) and City General Services Office (CGSO) contrary to Paragraph 27 of the International Public Sector Accounting Standards 1. This condition weighed on the fairness of the presentation of the inventories in the Financial Statement.

We recommended and Management agreed that:

- a. OCAT correct the accounting errors in record-keeping; and
- b. OCAT and CGSO: (a) maintain the prescribed inventory records and information that will enable effective and efficient tracking of the movements of inventories; and (b) reconcile their inventory records periodically.

2. The accuracy and completeness of the Real Property Tax (RPT) and Special Education Tax (SET) Receivables and related Deferred Credit accounts as at year end of P11.388 billion, P5.941 billion and P4.791 billion, respectively, could not be established because access to the application system tracking these accounts was not granted to the Audit Team contrary to COA Circular No. 2020-010 dated December 2, 2020.

We recommended and Management agreed to provide the Audit Team access to the City Treasurer's Office application system that tracks the RPT and SET accounts.

The audit observations together with the recommended courses of action, which were discussed with the concerned Management officials and staff during the Exit Conference conducted on April 20, 2023, are presented in detail in Part II of the report.

We request that the recommendations contained in Parts II and III of the report be immediately implemented and we will appreciate being informed of the action taken thereon within 60 days from receipt hereof pursuant to Section 97 of the General Provisions of the General Appropriations Act of FY 2022 (Republic Act No. 11639), using the Agency Action Plan and Status of Implementation Form to be submitted to the Audit Team.

We acknowledge the support and cooperation that you and your staff extended to the Audit Team, thus, facilitating the submission of this report.

Very truly yours,

COMMISSION ON AUDIT

By:

ATTY. MARIA CARMINA PAULITA B. JUGUILON PAGAYAWAN
Director IV

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